

CHAPTER 2

Understanding Investment Risk

KEY CONCEPTS

- Investment returns are directly related to investment risk.
- There are no risk-free investments after taxes and inflation.
- Practitioners view risk as investment volatility.
- Individuals view risk as losing money.

One of the oldest axioms on Wall Street is that *there is no free lunch*. You do not get something for nothing. Investors who take no investment risk should expect no return after adjusting for inflation and taxes.

Unfortunately, taking investment risk also means that you can and will lose money at times. There is simply no way around this. There is no free lunch. The risk and return relationship of business is one of the few laws of economics that has stood the test of time throughout history. If people tell you otherwise, they are either selling snake oil or they are naive.

There is a direct relationship between the amount of risk taken and the *expected* return on an investment. People expect to earn a profit from stock and bond investments because they are taking a risk. Stocks pay a dividend from earnings, bonds pay interest, and real estate pays rents; however, those income streams are not certain. The greater the uncertainty that this income will materialize, the higher the expected return on the investment must be. Investments with less risk of income disruptions have lower expected returns.

The changing risk perception on an investment is adjusted by market price. All else being equal, when the risk goes up, prices go down, and when risk goes down, prices go up. If the future cash flows of an investment such as a bond are known, investors who buy at lower prices expect to make higher returns because the risk of not receiving that cash flow is higher at that time, and investors who buy at higher prices expect to make lower returns because the perceived risk is lower at that time. With